

It is astonishing to see that more than half of all bond funds are actually sold with sales charges. The net result is that investors earn their net income (assuming a 5% load) on only 95% of their assets. If you hold a bond fund for five years, the result is an annual sacrifice of 1% each year in yield. At a 1.25% expense ratio, the fund's combined annual costs and sales charges over a five-year period are 2.25%, consuming nearly *one-third* of the fund's 7% gross yield.

---

*If mutual fund investors become more cognizant of the costs they are paying in the form of sales loads, management fees, and other fund expenses, and then act on this awareness, these costs will surely decline.*

---

As I noted earlier, the ability of any bond fund manager to earn excess returns sufficient to offset these prodigious costs is quite limited. Thus, it is contrary to expectations that nearly 70% of bond fund assets are held by load funds and only about 30% are held by no-load funds. There are hints that these percentages are converging, but a major shift can transpire only when bond fund investors act on their thrifty impulses.

In the stock fund arena, the presales-charge records of load and no-load funds are generally comparable. After adjusting for sales charges, no-load funds carry a distinct advantage. The marketplace seems to see this difference, and nearly 40% of the assets of all stock funds are represented by no-load funds. Most equity funds with very high operating expense ratios (say, over 2.5%) have attracted limited amounts of assets. It is difficult to determine, however, just where the link among high expenses, low performance, and a small asset base begins. Nonetheless, it seems clear to me that two trends will develop in the years ahead: (1) all equity funds — particularly the mainstream funds — will feel the cost